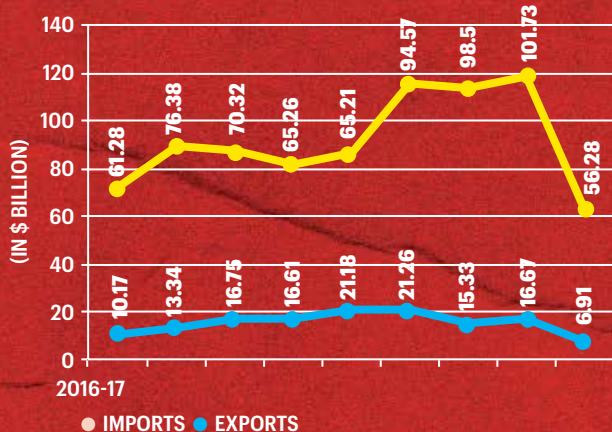
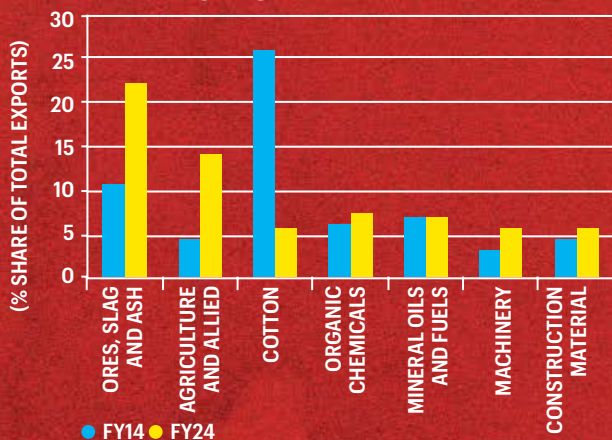


TRACKING THE TREND

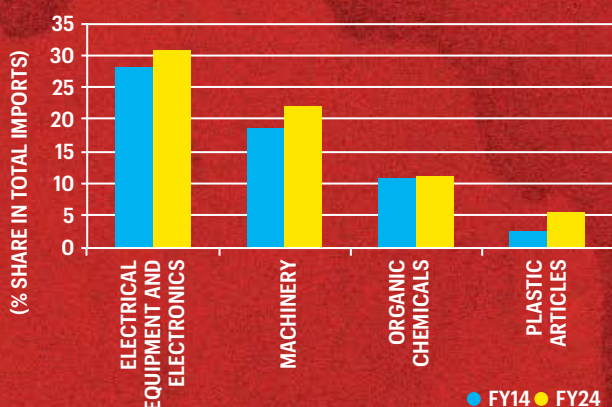
► China was India's largest trading partner in FY24 ► India's trade deficit with China was \$85.06 billion in FY24



KEY EXPORTS



KEY IMPORTS



SOURCE: MINISTRY OF COMMERCE, CRISIL

an eventual lifting of curbs. This situation is likely to change, but it is difficult to predict when it will happen as there are a lot of geopolitical issues at play," he says.

India has also prioritised its interests, such as buying crude oil from Russia despite Western sanctions on Moscow over the Ukraine war. Dhar feels India will likely continue to decide on issues for its benefit despite deteriorating relations between the US and China.

Agneswar Sen, Partner-Tax and Economic Policy (International Trade), EY India, is also confident that 2025 will be the year we can expect the normalisation of the India-China economic relationship.

"India used its economic clout to retaliate [for Galwan]. We did not resume direct flights to China following the Covid closures, curbed investment inflows, and shut down online businesses, which probably surprised the Chinese. Now there's a better understanding," he says.

The next logical step would be resuming direct passenger flights between India and China. Sen said the Indian industry has been asking for Chinese technicians to help install machinery and equipment.

Trade and investment

Experts stress that even after the Galwan clashes trade between India and China continued, and in FY24, China remained India's largest trading partner. But it has been a double-edged sword, given India's growing reliance on Chinese imports for their cost competitiveness and technological know-how in energy, transportation and machinery sectors. Over the years, the government has taken several initiatives under the 'Make in India' scheme to boost domestic manufacturing and compete with China as a global manufacturing hub.

India's exports to China rose marginally to \$16.67 billion in FY24 from \$16.61 billion in FY20. Its imports have, however, surged to \$101.73 billion in FY24 from \$65.26 billion in FY20. India's trade deficit with China had ballooned to \$85.06 billion in FY24.

Indian industry is also worried that if the US increases tariffs on imports from China, Beijing could dump goods in other markets.

Surendra Singh, Associate Professor of International Business at Jindal School of Liberal Arts and Humanities, O.P. Jindal Global University, says India's trade deficit with China has doubled in the last five years since it decided to stay out of the Regional Comprehensive Economic Pact, a free trade